Market Questions Global inflation

Will US inflation data increase the odds of a jumbo rate cut?

Market Questions is the FT's guide to the week ahead

Weak US jobs numbers have raised the prospect of a half point cut in interest rates this month © AFP via Getty Images

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Published SEP 7 2025

Inflation figures this week will provide the final piece of major economic data for Federal Reserve policymakers to chew over ahead of their interest rate decision this month.

Investors expect the Fed to resume its cycle of rate cuts, but weak US jobs data on Friday has opened the door to the possibility of an extra-large half point reduction in borrowing costs at the central bank's September meeting.

Economists polled by Reuters expect a 2.9 per cent annual rise in consumer prices when the inflation figures for August are published on Thursday, up from 2.7 per cent in July. But a lower-than-expected figure could see the clamour for a jumbo rate cut grow.

Recent data has shown that inflation in the US lingers, but that some of the tariff-specific price pressures from June's particularly hot CPI print are abating. The July personal consumption expenditures price index, the Fed's preferred measure of inflation, gave similar signals two weeks ago.

While inflation has eased, the weakness in the US labour market has got much worse, with the US adding just 22,000 jobs in August and the June figure revised to a loss of 13,000 — the first time the US economy has shed positions since the coronavirus pandemic in 2020. It came on the heels of last week's job openings and labour turnover survey, which was also notably weak: unemployed people outnumbered available job openings for the first time since 2021. *Aiden Reiter*

Will the ECB keep interest rates unchanged?

On Thursday, the 26 members of the European Central Bank's governing council will meet for the first time since July, but they are unlikely to do anything material. Analysts and investors expect Frankfurt rate setters to leave interest rates unchanged at 2 per cent, mirroring their decision before the summer break.

Annual inflation edged up in August to 2.1 per cent after meeting the central bank's medium-term 2 per cent target in the previous two months, and economic activity in the currency area has been a tad stronger than expected in recent months. A growing number of economists expect no further cuts this year, barring any major surprises.

"The burden of proof to justify another cut rests with disappointing data," BNP Paribas economists said on Friday, adding that the next change in interest rates was likely to be "a hike in late 2026".

As ECB president Christine Lagarde is expected to continue to give no guidance on the future path of monetary policy, investors' attention will focus on the updated ECB staff predictions for inflation and growth. In June, the central bank's economists said they expected policymakers to temporarily miss their medium-term inflation target of 2 per cent in 2026, as a series of one-off effects would drag down annual price rises to 1.6 per cent before an expected rebound to 2 per cent in 2027. Analysts at RBC Capital Markets forecast that the updated projections will show "modestly stronger growth" and "minimal changes in the inflation projections". *Olaf Storbeck*

Will China's battle with falling prices deliver results?

China publishes inflation figures for August on Wednesday, with the release widely expected to show the world's second-largest economy still battling falling prices.

Economists polled by Reuters expect the consumer price index to decline 0.2 per cent from a year earlier. The producer price index, which has been in contraction since October 2022, is forecast to fall 2.9 per cent.

Falling prices in China have eaten into companies' earnings, weighing on foreign investor sentiment towards the country's stocks. Although Chinese stocks have outperformed this year, global investors have largely chosen to stay away, citing deflation, weak earnings and policy uncertainty in both Washington and Beijing.

China has mounted a campaign against overproduction and price competition in various sectors including solar panels and electric vehicles, but analysts and investors are divided on whether this alone will reflate the economy. Without government intervention, many argue, falling prices would eventually lead to industrial consolidation, giving surviving companies greater pricing power, which would in turn fuel earnings growth and rising prices.

But China's industrial policy, which fuses a fixation on material production with promoting technological innovation, is ill at ease with market pricing and demand-oriented measures.

The country's struggle with deflation is in stark contrast with much of the rest of the world, where policymakers are grappling with sustained price rises that have followed the pandemic and Russia's full-scale invasion of Ukraine. *William Sandlund*

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